Earnings update

Epiroc Q3 2026: margins deliver, orders and cash do not

28 October 2026 · Syz Research

> **"The strong order development needs to translate into revenues and cash. And we are focused on improving that conversion while continuing to serve our customers well."**
>
> Helena Hedblom, President and Chief Executive Officer, Q3 2026 results call, 28 October 2026

Epiroc makes drilling rigs, underground loaders, rock tools and attachments for mining and infrastructure customers, and services the installed fleet. Mining accounts for 83% of orders; quarterly revenue is SEK 16.8bn. Stockholm-listed.

Key takeaways

Miss Revenue SEK 16.8bn, 3.0% below consensus; EPS SEK 2.00, 6.5% below, despite a 20.4% margin.

Reaction Shares down 5.1% on 28 October: equipment orders grew 16% organically, against about 26% expected.

Watch Operating cash flow fell to SEK 1.4bn from 2.5bn on inventory; 12-month cash conversion 78%.

Valuation 24.8x forward earnings, in line with its average since the 2018 listing; 33.3x in February.

Revenue	Adjusted EBIT margin	EPS	Equipment orders, organic
SEK 16.8bn	**20.4%**	**SEK 2.00**	**+16%**
–3.0% vs. consensus	+20bp vs. consensus	–6.5% vs. consensus	About 26% expected

What the quarter means for the investment case

Revenue missed consensus by 3.0% and earnings per share by 6.5%, and the shares fell 5.1% by early afternoon on 28 October: miss and reaction are aligned. The margin was the bright spot at 20.4%, up from 19.0%, but equipment orders grew 16% organically against 30% in the second quarter, and cash conversion weakened sharply.

Chart 1 · EPI A: Q3 2026 vs. consensus

Surprise in % · orders consensus from analyst first takes · EPS: basic reported vs. adjusted consensus

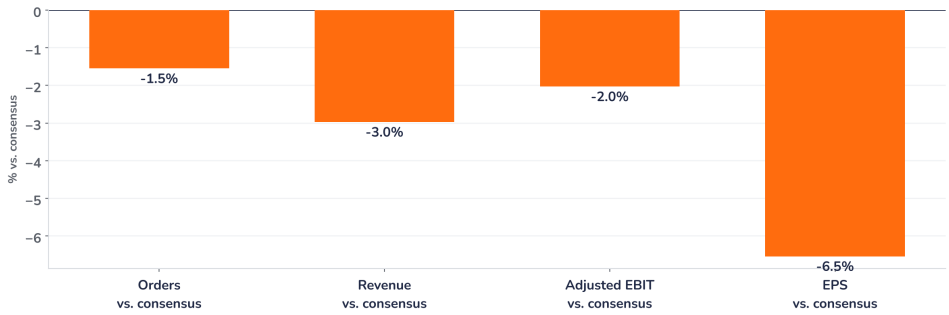


Chart 1 shows a miss on every volume line, from orders to earnings per share, against a margin that beat by 20bp. Efficiency gains held the operating profit miss to 2.0%, which included a SEK 135m currency gain that management does not expect to repeat at that scale. Volume, not cost, is the real issue.

Base case and implications

We keep our position in Epiroc but would wait for the order rebound before adding. The earnings path we underwrite rests on backlog conversion: consensus expects fourth-quarter revenue of SEK 18.6bn and EPS of SEK 2.35, up 11% and 18% from the third quarter, which needs underground deliveries to accelerate. Margins look durable above 20%, carried by efficiency and pricing. The copper pipeline is the catalyst; the fourth-quarter report in early 2027, with equipment orders and cash conversion, is the next test.

What would strengthen our view

Equipment orders back above 20% organic growth in the fourth quarter as copper projects are booked; surface tenders converting into orders; cash conversion back above 90%; an Equipment & Service margin near 23.8% without currency gains.

What would change our view

A second quarter of equipment orders below 15% organic growth; copper decisions slipping into mid-2027 as negotiations drag; inventory rising further, with rolling cash conversion below 75%; infrastructure demand guided from stable to weaker.

Beyond the key takeaways

Results: margins up, volumes short

Orders rose 12% organically to SEK 17.5bn, with equipment up 16% and service up 13%, against 30% and 6% in the second quarter; large orders reached SEK 790m, including a SEK 610m order for the Khoemacau copper mine. Revenue grew 7% organically to SEK 16.8bn: equipment only 5%, held back by long lead times on large surface rigs and a base that included more than SEK 300m of Roy Hill automation invoicing, service 10%. Equipment & Service lifted its adjusted margin to 23.8% from 21.9% on volume and efficiency; Tools & Attachments reached 13.2%, its best since early 2024. Currency added 3% to orders and revenue.

A miss on revenue, operating profit and earnings met a 5.1% fall by 13:27 GMT on 28 October: surprise and reaction are aligned. The confirmed drivers go beyond the headline: equipment orders grew 16% organically against analyst expectations of about 26%, surface tenders did not convert, the infrastructure outlook was trimmed from “increase somewhat” to “remain stable”, and operating cash flow fell to SEK 1.4bn from 2.5bn. Expectations were already easing, in our reading: the shares had fallen 6.5% in the two weeks before the release, which may have limited the move.

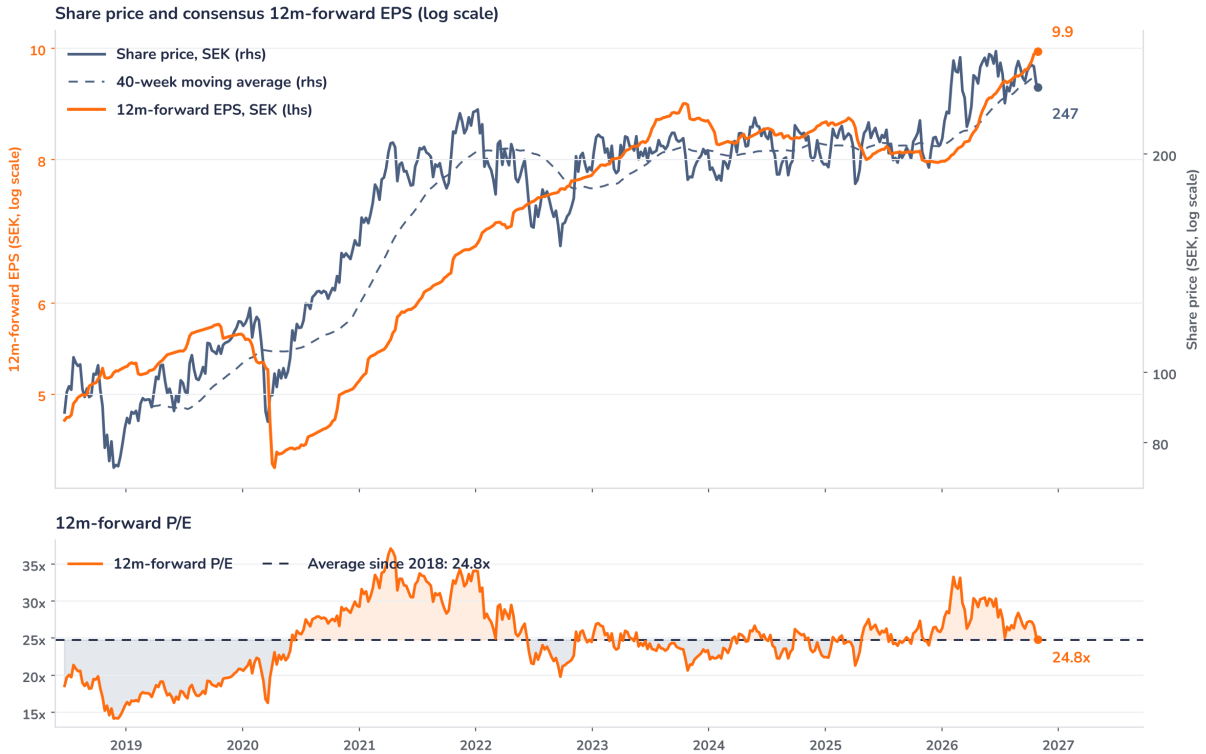
Outlook: copper pipeline strong, timing uncertain

Epiroc gives no numeric guidance. It expects mining demand to remain high and infrastructure demand to remain stable, where in July it expected infrastructure to increase somewhat; the weakness is in housing-related attachments. Management calls the copper pipeline for the fourth and first quarters very strong, but warns that investment decisions take months to become firm orders. Lead times are six to seven months for underground equipment and up to 12 months for large surface rigs, so the order book feeds revenue into 2027. Savings from moving tools production from Langley, Canada, to Matehuala, Mexico, are not yet in the numbers.

Valuation: back to the long-run average

Chart 2 · EPI A: share price vs. consensus earnings and valuation

Weekly since the June 2018 listing · Bloomberg 12m-forward consensus · 40-week MA · log scale · last price SEK 247.0, intraday 28 Oct



The share price is up 11% over 12 months while consensus 12m-forward EPS rose 22% to SEK 9.95, so earnings have outrun the price. Since the July results, EPS is up 6% and the price 5%. The forward P/E has fallen from 33.3x in February to 24.8x, in line with its average since the 2018 listing and well below the one-year average of 27.9x. The price sits 3.6% below its 40-week moving average of SEK 256 and 11% below the June high of SEK 278.2. The multiple no longer carries a premium; earnings delivery has to do the work.

SYZ Source: Syz Research, Bloomberg, company filings, Epiroc Q3 2026 interim report and results call of 28 October 2026, StreetAccount, analyst research notes of 28 October 2026

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